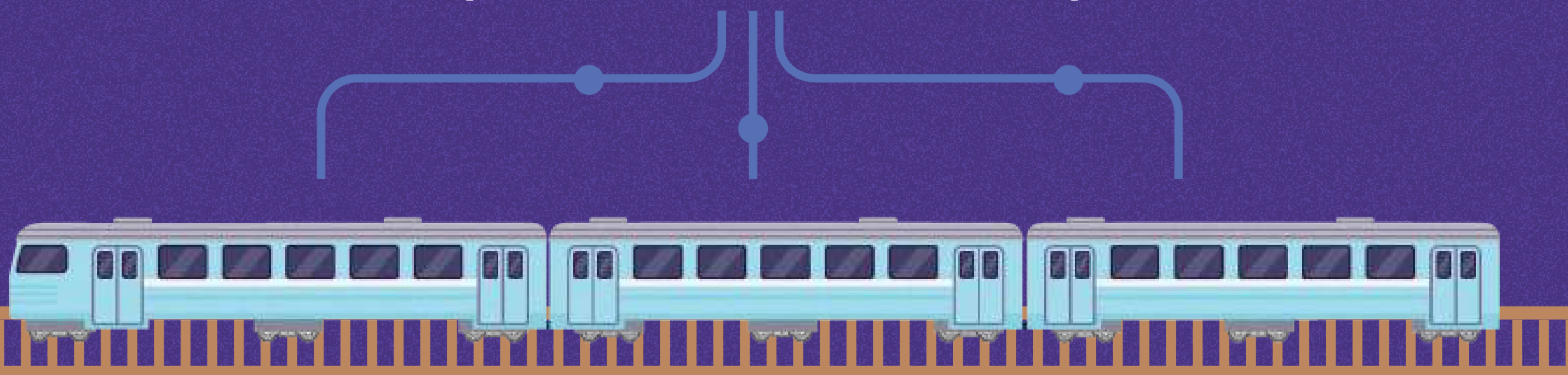


The salary is divided into three components



A. Fixed Salary

B. Variable Salary

C. Bonus



A. Fixed Salary

An employee gets a fixed salary on a monthly basis. It is only dependent on the attendance of the employee. Here are the components given as part of the fixed salary. They are primarily decided based on employee needs, regulations, and taxation.

1.

Basic Salary

The basic salary is the base income of an employee. You may keep it between 35% to 50% of the total salary. It is fully taxable.

2.

Allowances

The allowances are given to meet the needs of the employees. The allowances may be partially or fully taxable as per the provisions of the Income Tax Act. The popular allowances where tax benefits are available include:

- a. House Rent Allowance - To compensate for house rent.
- b. Conveyance Allowance - To provide for the traveling expenses from their home to work.
- c. Leave Travel Allowance - To compensate for the yearly vacation expenses. It covers air travel, train travel and hotel expenses during vacation.
- d. Medical Allowance - To compensate for medical expenses of an employee.
- e. Books and Periodicals Allowance - To provide for books and periodicals.

You may add any number of fully taxable allowances based on the needs of a group of employees. Most popular taxable allowances include

- a. Dearness Allowance (DA) - To mitigate the impact of inflation. It is linked to the Consumer Price Index. It is used in public sector organizations.
- b. Night Shift Allowance - To compensate for Night Shift working.
- c. Uniform Allowance - To buy or maintain uniform.
- d. City Compensatory Allowance - To compensate for the cost of living in different cities
- e. Special Allowance - To pay the agreed salary without assigning any reason.